AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

MAY 2016

Principles of Accounting Paper II

Time: 2 hours 25 minutes Marks: 50

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are FIVE questions. Answer ALL questions.

3. When answering the questions:

   Read each question carefully.
   Use only a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

6. Some new terminologies have been introduced and mentioned in the brackets. The old terminologies have also been mentioned in the paper for your assistance.

Q.1. (Total 8 Marks)

a. Following business transactions have been extracted from the books of Ms Asma.

- Started her business with cash Rs 250,000
- Purchased equipment for Rs 100,000 and supplies for Rs 15,000
- Bought merchandise for Rs 75,000 from Atlas Enterprises on account
- Sold goods to Ameer for Rs 15,000, Ameer paid Rs 5,000 balance will be received in 15 days
- Withdrew Rs 1,500 for personal use from the business

Record the transaction in the given table by applying accounting equation. (4 Marks)

(**NOTE**: The first example has been done for your assistance.)

Assets					**Equity**	
Cash	**Equipment**	**Supplies**	**Merchandise**	**Account Receivable**	**Account Payable**	**Capital**
250,000						**250,000**

b. Show the effects of accounting rules of debit and credit in the given table. (4 Marks)

(**NOTE**: The first example has been done for your assistance)

Account Heads	**Debit**	**Credit**
Capital	**Decrease**	**Increase**
Assets		
Liabilities		
Revenues		
Expenses		

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Q.2. (Total 12 Marks)

a. The following information presents few errors made by an accountant in the accounts of Ammar Brothers. (6 Marks)

Identify the errors and prepare the correct trial balance.

Particulars	Debit	Credit
Cash	100,000	
Account receivable	150,000	
Merchandise inventory		50,000
Account payable		75,000
Supplies		15,000
Sales revenue		125,000
Salaries expense	25,000	
Sales returns		10,000
Purchases	80,000	
Purchase returns	10,000	
Capital	200,000	
Commission income	20,000	

Particulars	Debit	Credit

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b. The following account details are taken from the books of Al-Majid Associates. (6 Marks)

Account Heads	Amount (Rs)
Sales	300,000
Sales returns	10,000
Purchases	175,000
Purchases returns	7,500
Salaries expense	12,000
Opening stock	25,000
Administrative expense	15,000
Repair and maintenance expense	12,000
Insurance expense	14,500
Supplies expense	15,000
Ending stock	15,000

Prepare a classified income statement from the above mentioned information.

Space for rough work.

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Space for classified income statement

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Q.3. (Total 10 Marks)

a. The following business transactions have been extracted from the books of Farah Enterprises.

- Cash invested in the business Rs 275,500
- Merchandise purchased from Hammad Enterprises for Rs 15,500 on account
- Farah withdrew merchandise worth Rs 5,000 for her personal use
- Sold goods to Al-Amin Associates on account for Rs 10,000
- Al-Amin Associates returned the defective goods of Rs 1,000

Post the General Journal entries for the above transactions. (5 Marks)

Date	Particular	P.R.	Debit	Credit

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b. The following transactions are taken from the books of Al-Hamra Traders.

- A customer deposited Rs 7,500 into the bank account directly
- Withdrew cash of Rs 500 for personal use
- Paid wages to workers Rs 4,500
- A cheque of Rs 5,500 received from a customer was deposited into the bank on the same day
- Cash deposited into bank of Rs 5,200

Post the above transactions in the given cash book format. The opening balances of cash and bank are mentioned in the format. (5 Marks)

Date	Particular	P.R.	Cash	Bank	Date	Particular	P.R.	Cash	Bank
	Balance b/d		**15,000**	**25,000**					

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Q.4. (Total 8 Marks)

a. Enter the following transactions in the sales day book. (4 Marks)

Date	Particular	Amount
02.01.2015	Credit sales to Ms Zehra (invoice # 453)	Rs 8,500
04.01.2015	Credit sales to Ms Munira (invoice # 454)	Rs 12,000
06.01.2015	Credit sales to Ms Kiran (invoice # 455)	Rs 9,500
08.01.2015	Credit sales to Ms Afreen (invoice # 456)	Rs 17,500
10.01.2015	Credit sales to Ms Nasreen (invoice # 457)	Rs 13,500

Sales Day Book				
Date	**Particular**	**Invoice Number**	**Folio**	**Amount**

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b. For the transactions done in '**Part a**', draw and post the items to the relevant accounts in the 'sales account of customers' (accounts receivable subsidiary accounts). (4 Marks)

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Q.5. (Total 12 Marks)

a. On January 01, 2013, Ammar & Co. purchased a machine with a list price of Rs 200,000. The estimated life of machine is 10 years with an estimated scrap value of Rs 10,000. The business follows 20% reducing balance method of recording depreciation. The company's financial year ends on June 30 each year.

Compute the depreciation for 2013, 2014 and 2015. (6 Marks)

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b. The following are the account balances extracted from the ABC Co.

Opening balance of account receivable Rs 400,000

Opening balance provision for bad debts Rs 2,000

Unadjusted bad debts Rs 5,000

i. Prepare General Journal entries for bad debts write-off. (2 Marks)

ii. Compute the amount of provision that will appear in the balance sheet. (2 Marks)

iii. Prepare General Journal entry for recording provision for doubtful debts if the provision is maintained at 1% of year end account receivables. (2 Marks)

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Date	Particular	P.R.	Debit	Credit

END OF PAPER

Please use this page for rough work

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